

Repossession Procedure for Hire Purchase-i

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This standard operating procedure sets out the mandatory operational and regulatory requirements governing the repossession of motor vehicles and motorcycles under Motorcycle Hire Purchase-i and Auto Hire Purchase-i facilities offered by AEON Credit Service (M) Berhad. It details statutory notice issuance, appointment and conduct of registered repossessionors, post-repossession inventory and storage, auction processes, and customer accounting statements in strict adherence to statutory and internal recovery standards.

1.0 — Purpose and Regulatory Scope

This document defines the standard operating procedures for the physical repossession and subsequent disposition of motor vehicles financed under AEON Credit Service (M) Berhad's Motorcycle Hire Purchase-i and Auto Hire Purchase-i facilities. The procedure ensures rigorous compliance with Malaysian statutory recovery frameworks, consumer protection guidelines, and internal credit recovery governance across all operational branches and appointed recovery agents.

2.0 — Default Trigger and Fourth Schedule Notice Issuance

Initiation of legal repossession procedures shall strictly commence once an account incurs default exceeding two consecutive monthly instalments (facilities currently 2+ months in arrears). Prior to taking physical custody of the financed asset, Collections Department must serve a statutory notice in accordance with the Fourth Schedule. The customer shall be granted an absolute statutory period of twenty-one (21) calendar days from service to regularise all overdue instalments, statutory late charges, and incidental administrative recovery expenses.

3.0 — Appointment and Verification of Licensed Repossessionors

Physical execution of repossession orders may only be entrusted to repossession agents who possess an active permit issued by the Ministry of Domestic Trade and Cost of Living (KPDN) and have been formally empanelled by the Company. Prior to dispatch, the Collections Operations Unit must verify that the agent possesses an active corporate Repossession Order (RO), a valid identity card, and an unexpired KPDN authority card. Repossessionors are strictly prohibited from engaging in physical intimidation, entering residential premises without consent, or executing repossessions outside statutory operating hours.

4.0 — Physical Repossession and Condition Inventory

Upon securing physical possession of the financed motorcycle or motor vehicle, the licensed agent must immediately contact the nearest Royal Malaysia Police station to lodge an official repossession report within twenty-four (24) hours. The agent must execute a detailed Vehicle Condition Report (VCR) documenting the vehicle registration, chassis number, odometer reading, physical imperfections, and all personal belongings located inside the vehicle. The asset must then be deposited directly at an authorised and secured AEON Credit storage yard.

5.0 — Fifth Schedule Notice and Customer Rights

Within twenty-one (21) calendar days of securing physical custody of the vehicle, the Company shall serve a notice under the Fifth Schedule to the customer and any guarantors. This statutory notice outlines the net outstanding balance, the repossession and storage costs incurred, and provides the customer twenty-one (21) calendar days to either redeem the asset by paying the full outstanding balance or reinstate the agreement by settling all overdue arrears and direct repossession costs.

6.0 — Post-Repossession Public Auction and Private Treaty

Should the customer fail to redeem or reinstate the agreement upon the expiry of the Fifth Schedule notice period, the asset shall be scheduled for public auction or direct private treaty sale. A licensed auctioneer shall conduct the sale following independent valuation to establish a reserve price reflecting fair market value. The customer must be

provided not less than fourteen (14) days prior written notice specifying the auction date, time, and venue, preserving their right to introduce a private purchaser matching or exceeding the reserve price.

7.0 — Post-Sale Accounting Statement and Surplus/Deficit Settlement

Within twenty-one (21) calendar days following the conclusion of the auction or sale, Collections Accounting must generate and dispatch a final Post-Sale Statement of Account to the customer. All gross proceeds realised shall be applied in strict statutory sequence: recovery of repossession and yard storage costs, liquidation of statutory auction and advertising fees, clearance of overdue instalments, and settlement of the remaining principal financing balance. Any surplus funds must be refunded to the customer within thirty (30) days, whereas remaining deficit balances shall be pursued through standard civil recovery channels.

8.0 — Customer Inquiries and Dispute Escalation

All customer grievances arising from repossession activities, disputed inventory condition reports, or accounting reconciliations must be logged via the Customer Care system. The Company shall formally acknowledge all customer complaints within two (2) business days and resolve the dispute within fourteen (14) days of receipt. Unresolved disputes regarding operational enforcement or disputed settlement figures shall be escalated to the Ombudsman for Financial Services (OFS) or relevant regulatory authorities.

Schedule / Reference Table

Milestone / Action Stage	Governing Instrument / Form	Triggering Event / Default Threshold	Statutory Notice / Execution Window	Responsible Operational Unit
Pre-Repossession Statutory Notice	Fourth Schedule Notice	Facility 2+ months in arrears	21 calendar days prior to recovery order	Collections Operations
Physical Custody Execution	KPDN Authority Card & Company RO	Expiry of Fourth Schedule notice period	Execution within legal hours (09:00 - 21:00)	Empanelled Licensed Repossessor
Post-Repossession Notification	Fifth Schedule Notice & Inventory VCR	Directly following vehicle yard check-in	Served within 21 calendar days of recovery	Recovery Administration Unit
Customer Redemption Window	Reinstatement / Settlement Form	Receipt of Fifth Schedule Notice	21 calendar days from date of notice service	Retail Credit Operations
Public Auction Disposal	Notice of Auction / Valuation Report	Non-redemption upon Fifth Schedule expiry	14 days prior notice of auction date	Asset Disposal Unit
Final Account Reconciliation	Post-Sale Customer Statement	Conclusion of asset disposal / sale settlement	Issued within 21 calendar days post-sale	Collections Accounting